

A Spectrum of Investments

To put risk in the context of most typical investing options, let's think of it like a spectrum of investments from low risk to high risk. On the super conservative, low-risk end of the spectrum are things like CDs and bonds. These are generally safe, meaning there's a low chance you'll lose your money. However, they're also low reward, because you aren't assuming much risk. On the other, high-risk end of the spectrum, you've got things like day trading and cryptocurrencies (which I'll discuss in just a moment). With these things, you could make a huge amount of money overnight—but you're more likely to lose everything. That's because the degree of risk is out of control, and the odds of something going wrong outweigh any potential reward.

Plenty of people participate on both extremes every day, experiencing a lot of ups and downs along the way. Interestingly, though, almost none of the millionaires we studied engage in either extreme. Instead, they keep their risk and reward ratios in check by sticking with proven, consistent investments with long-term track records. In fact, the most common path to wealth creation among the millionaires we studied was investing in growth stock mutual funds through their company retirement plans. Seventy-nine percent of millionaires used employer-sponsored plans like the 401(k) to build their wealth. That's right, the boring retirement plan your company probably offers is the most important piece to millionaires' financial success. That's because the 401(k) and other employer-sponsored plans generally provide a way to participate in relatively stable investments, get tax-favored growth on your returns, possibly get a match from your employer, and set your retirement savings on autopilot through paycheck deductions. I love employer-sponsored plans, but don't worry if your job doesn't provide one. There are plenty of other options. I'll dig into investments later in this book.